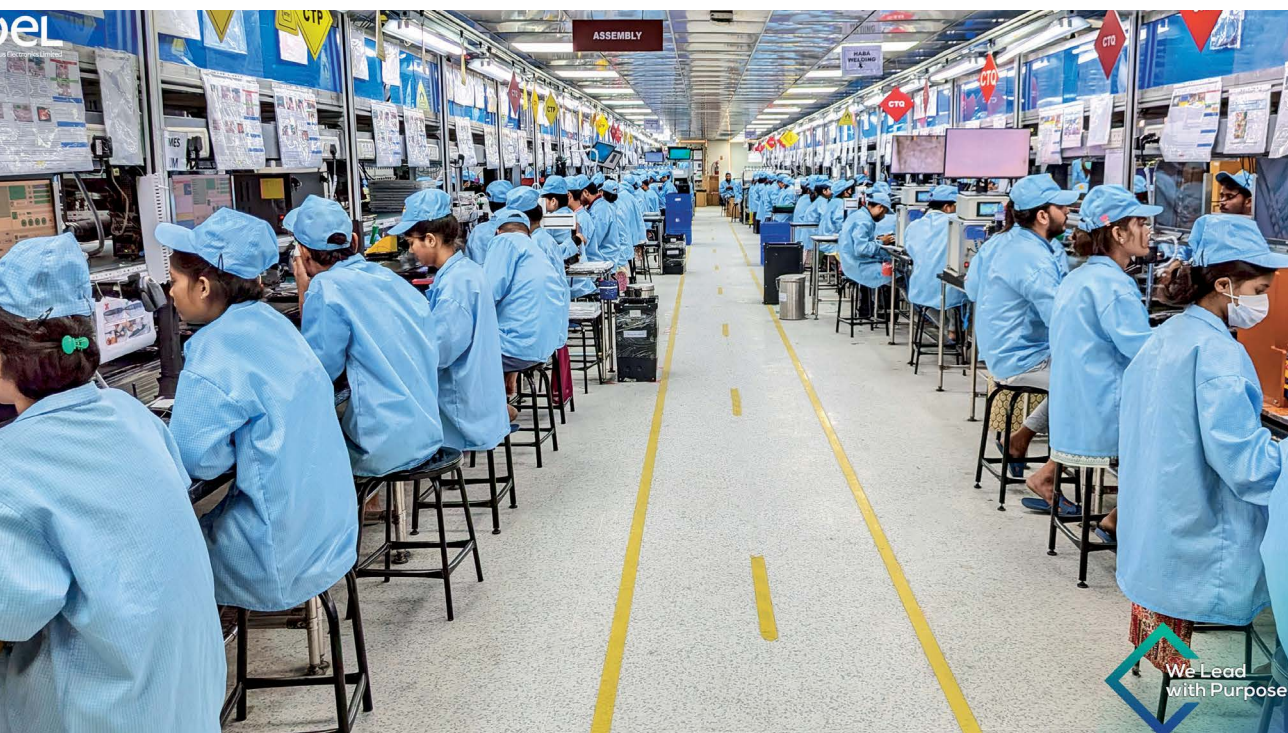




\$30
BILLION
India's
smartphone
exports in 2025,
driven by the
PLI scheme

to push this to 35-40% for smartphones by 2030," he says.

The dependence on imports for electronic components—advanced semiconductors, display panels, camera modules and a range of key electronics parts—is high. "The ecosystem depends heavily on imported high-value components, typically in the 60-70% range for many electronic categories," says Gupta. For example, India is assembling more audio and wearable products, but core electronic components going into smartphones and other devices are sourced from outside.

Low local value addition means the country is mostly an assembler of imported components rather than having a robust local components ecosystem that helps derisk from global supply chain shocks and currency fluctuations. "India's transition resembles a 4x400-metre relay race. The first leg was assembly. The second is component localisation. The third is design—circuits, systems and

product engineering. The fourth will be the emergence of global Indian champions with their own brands and intellectual property," says Sharma of CII.

Unlike an actual relay, though, the runners do not leave the track. Assembly, components, and design all continue in parallel. This shift can be seen in EMS factories as they expand into areas beyond smartphone assemblies. For instance, Syrma SGS is investing around ₹1,600 crore over five years in single-layer, multi-layer, HDI (high-density interconnect) and flex-rigid flex PCBs, as well as copper-clad laminates. It is also expanding in wound components, wire harnesses and camera modules. Noida-based EMS player Optimus Infracom is building products across smartphones, tablets, hearables, wearables, routers, modems, soundboxes and fintech hardware such as point-of-sale devices.

"The industry has evolved from basic assembly of imported parts to higher local value addition. Local capabilities have improved in PCB fabrication, testing,